PRODUCTBEACON

# Cyber Weekly Summary · 17 October 2026

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## The main stories

- **Proofpoint agreed to buy Varonis for about $6.3 billion in cash,** or $49.75 a share. The companies expect the deal to close in the first half of 2027.
- **Workday agreed to buy C1.ai, which governs what people and AI agents can access.** Workday gave no price.
- **IonQ, a quantum-computing company, agreed to buy Elisity for up to $1.3 billion in shares.** IonQ says Elisity controls which users, devices, workloads and AI agents can talk on a network.
- **CrowdStrike is in advanced talks to buy Orion Security for about $500 million, Calcalist reports.** Calcalist says Orion's product is designed to replace traditional data loss prevention. We found no statement from either company.
- **Cyber shares fell hard.** From 9 to 16 October, Okta fell 19.3%, Palo Alto Networks 18.3% and CrowdStrike 17.3%, by our calculation. The Nasdaq fell 4.5%.
- **SentinelOne raised about $1.41 billion in net proceeds from zero-interest convertible notes.** It bought back $150 million of shares and lists potential acquisitions among uses for the rest.
- **Cyera says customers can now buy it through Anthropic's Claude Marketplace,** paying partly from money they have already committed to Anthropic.

**Our view:** data security and identity consolidated this week, but the signed buyers were not Microsoft, Palo Alto Networks, CrowdStrike or Cisco. CrowdStrike is only reported to be in talks.

## Data security and insider risk

### Proofpoint agrees to buy Varonis for about $6.3 billion

- Varonis signed a merger agreement with Proofpoint on 15 October. Proofpoint is owned by funds advised by Thoma Bravo, a private-equity firm. Bloomberg first reported talks with Proofpoint on 2 September.
- **Price:** $49.75 a share in cash, about $6.3 billion in total. The companies call it a 52% premium to the 22 June close and 17% over the 1 September close.
- **Timing:** the companies expect to close in the first half of 2027, after a Varonis shareholder vote and regulatory approvals. The Varonis board approved the deal unanimously.
- **Money:** Thoma Bravo committed equity and has debt commitments. Ontario Teachers' Pension Plan also agreed to invest in Proofpoint; no amount was given.
- **Break fees:** Varonis would pay $211.7 million in specified cases, such as taking a better offer. Proofpoint would pay $423.3 million in specified cases. The deal has no financing condition.
- **Shares:** Varonis rose 2.9% to $48.72 on 16 October, below the offer. RBC Capital, Jefferies and DA Davidson cut their ratings. RBC does not expect another bidder, Investing.com reports.

- **Results:** Varonis reports its third quarter on 3 November and will not hold a conference call.
- Proofpoint's chief executive told CRN that the goal "would be to assess" a stock-market listing after the deal closes.
- **Our view:** one owner will hold data loss prevention, insider risk, data posture and data-access controls. The offer is 5% above Varonis' last close before the deal and below its 9 October close.

*Sources: SEC filing, Proofpoint and Varonis, Bloomberg's report via Investing.com, Investing.com, CRN, SecurityWeek.*

### Cyera says customers can buy it through Anthropic's Claude Marketplace

- Cyera says its AI security platform "is now available in the Claude Marketplace".
- "Anthropic customers can apply a portion of their committed Anthropic spend to Cyera," Cyera says. It gave no prices.
- **Our view:** a data-security vendor can now be paid from an AI-model budget, not only a security budget.

*Source: Cyera.*

### Other data-security and insider-risk news

- **Harmonic Security** raised a $50 million Series B led by Crosspoint Capital Partners. It secures how employees and AI agents use AI tools.
- **Microsoft** says endpoint data loss prevention in Purview can now check sensitive data in FTP and SFTP file transfers from managed Windows devices, generally available in October. It has posted no general-availability notice yet for its controls for non-Microsoft apps; the last entry, from August, says preview.
- **Proofpoint** plans updates to its platform for managed service providers, including Microsoft 365 permission-risk views, which "will debut in Q4 2026", Channel Insider reports.

*Sources: SecurityWeek, Microsoft Learn, Channel Insider.*

## Identity

### Workday agrees to buy C1.ai to govern access for people and AI agents

- Workday says it "has signed a definitive agreement to acquire C1.ai, a leading agentic identity platform for people and agents". It gave no price.
- "With C1.ai, Workday will become the identity governance layer for people, money, and agents," Workday says.
- Workday expects to close by 31 January 2027, the end of its fiscal year. The old ConductorOne web address now leads to c1.ai.

- **Our view:** a business-software company is now competing with identity specialists such as SailPoint and Okta to control what AI agents can reach.

*Sources: Workday, C1.ai.*

### IonQ agrees to buy Elisity for up to $1.3 billion in shares

- IonQ will pay in IonQ shares: $1.15 billion at closing, plus up to $150 million more tied to Elisity revenue goals. It expects to close in the fourth quarter.
- IonQ says Elisity restricts which "users, devices, workloads and AI agents" can talk on a network.
- IonQ signed on 9 October and announced the deal on 12 October.

*Sources: SEC filing, IonQ, SecurityWeek.*

### Other identity news

- **SailPoint's** 14 October investor webcast gave no financial figures in the parts we could read. It opened by saying it "will not discuss the financial impact of products on this call".
- **Okta** still lists the kill switch for its AI-agent gateway as "coming soon".

*Sources: GuruFocus, Okta.*

## Security operations and AI security

### CrowdStrike reported in talks to buy Orion Security

- Calcalist reports CrowdStrike "is in advanced negotiations" to buy Orion Security for about $500 million. It says the talks "have not yet resulted in a completed deal".
- Orion was founded in 2024, has about 20 employees and has raised $38 million, Calcalist reports. Its platform "is designed to replace traditional data loss prevention".
- We found no statement from either company.
- **XM Cyber** now presents the sale of its technology to CrowdStrike, completed in September, as a "$600 million exit", Ynetnews reports. Only 50 of about 300 staff in Israel remain, it says.

*Sources: Calcalist, CyberWire, Ynetnews.*

### SentinelOne raises about $1.41 billion from convertible notes

- SentinelOne completed a sale of zero-interest convertible notes due 2031 on 16 October. Buyers took a $187.5 million option on top of the $1.25 billion offering.
- Net proceeds were about $1.41 billion. SentinelOne spent about $151 million on hedges that limit share dilution and $150 million buying back shares at $24.01.
- It lists "potential acquisitions and strategic transactions or investments" among uses for the rest. Shares closed 6.4% lower on 13 October, when the offering was announced, by our

calculation.

*Sources: SEC filing, Investing.com via Yahoo Finance.*

### Other security-operations and AI-security news

- **Pluto Security** came out of stealth with $42 million. It finds risk in AI tools and agents, and says it has more than 30 enterprise customers.
- **Opsin** raised $21 million to govern AI agents' permissions and actions.
- **Arctic Wolf** announced several products at its summit, including shadow-AI discovery, which it says is coming soon, and a tool that shows how its AI ran an investigation.
- **Microsoft** moved Security Copilot, Sentinel and Defender for Cloud into a consumption-based incentive for its reseller partners from 1 October, its partner newsletter says.
- **Elastic:** at its 15 October annual meeting, about 36% of votes cast opposed director Alison Gleeson, by our calculation. All proposals passed.

*Sources: TechCrunch, Opsin, Arctic Wolf, Microsoft, SEC filing.*

## Secure edge

- **Netskope and BT International** say customers can now reach Netskope's secure edge through BT's Global Fabric network, sold as one BT-managed bundle.
- **Netskope's** documentation calls Agent Action Control, its tool for blocking risky AI-agent actions, "a Beta feature". Netskope said in September it would be available at the end of its current quarter, which by our calculation ends 31 October.

*Sources: Netskope, Netskope documentation.*

## Shares

### Cyber shares fell sharply in the week

| Company | 9 to 16 October |
|---|---|
| Okta | **-19.3%** |
| Palo Alto Networks | **-18.3%** |
| Cloudflare | -17.9% |
| SentinelOne | -17.9% |
| CrowdStrike | -17.3% |

| Company | 9 to 16 October |
|---|---|
| Fortinet | -13.2% |
| Zscaler | -11.3% |
| Check Point | +0.5% |
| Nasdaq Composite | -4.5% |

- These are our calculations from Yahoo Finance closing prices.
- On 14 October, 247 Wall St linked a fall to a report that OpenAI plans to buy a cybersecurity startup. The Information reports that OpenAI is in early talks to buy Trail of Bits, a security research firm. The report is unconfirmed.
- On 16 October the sell-off intensified, Investor's Business Daily reports. Palo Alto Networks fell more than 7% that day.

*Sources: Yahoo Finance, 247 Wall St, The Information, Investor's Business Daily.*

## Funding at a glance

| Company | What it does | Round | Lead investor |
|---|---|---|---|
| Harmonic Security | Security for employees' AI use | **$50 million** Series B | Crosspoint Capital Partners |
| Pluto Security | Risk in AI tools and agents | **$42 million** seed and Series A | TLV Partners; Jump Capital |
| Opsin | Governance of AI agents | **$21 million** | SYN Ventures and Race Capital |

- **Our view:** every round of $20 million or more we found this week went to securing how employees and AI agents use AI tools.

*Sources: SecurityWeek, TechCrunch, Dealroom.*

## Acquisitions at a glance

| Buyer | Target | Status | Price |
|---|---|---|---|
| Proofpoint | Varonis | Agreed 15 October; close expected first half of 2027 | About $6.3 billion in cash |

| Buyer | Target | Status | Price |
|---|---|---|---|
| IonQ | Elisity | Agreed; announced 12 October | Up to $1.3 billion in IonQ shares |
| Workday | C1.ai | Agreed 12 October, announced 13 October; close expected by 31 January 2027 | Not disclosed |
| CrowdStrike | Orion Security | Advanced talks, unconfirmed (Calcalist) | About $500 million, reported |
| OpenAI | Trail of Bits | Early talks, unconfirmed (The Information) | Not reported |

- We found no acquisition by Palo Alto Networks, Microsoft, Cisco, Zscaler or Okta this week.

*Sources: SEC filing, SEC filing, Workday, Calcalist, The Information.*

## Stories to watch

### Still pending

- **Proofpoint SOC Analyst Agent** (SOC: security operations centre): its release still says general availability "is expected by the end of Q3 2026". We found no newer statement.
- **Netskope Agent Action Control:** promised for the end of Netskope's quarter, which by our calculation is 31 October.
- **Microsoft Purview data loss prevention for non-Microsoft apps:** general availability planned for late October.
- **Splunk Agent Launchpad:** "expected later in 2026", a Splunk partner says. A Splunk webinar on 29 October offers live demonstrations.
- **Elastic AlertZero:** Elastic says it will come as a technical preview; no date given. **Microsoft's Integrated Security Operations Center:** still in preview.
- **Quorum Cyber and Ontinue:** we found no completion statement. **Upwind and Aegis:** SecurityWeek says Upwind "has acquired" Aegis; we found no completion statement from the companies.

*Sources: Proofpoint, Netskope, Microsoft message (archived copy), bitsIO, Splunk, Elastic, Microsoft Learn, Quorum Cyber, SecurityWeek.*

### Coming events

- **Fortinet and Tenable results, 28 October.**
- **Check Point results, 2 November; Varonis results, 3 November; Rapid7 results, 4 November.**

- **RSA Agent ID: two parts planned for general availability on 16 November.**
- **Microsoft Ignite, 17 to 20 November.**

*Sources: Fortinet, Tenable, Check Point, Proofpoint and Varonis, Rapid7, RSA, Microsoft.*

### Our predictions

- This week changes none of our seven assessments. Proofpoint and Varonis, Workday and C1.ai, and the CrowdStrike report are evidence we will weigh at the next prediction update, due in late October.

## Sources

The full source notes link each reported development to company announcements, regulatory filings or named publications.